5/20/2024 - Evidentiary Hearing - 23-G-0225/0226/0200

STATE OF NEW YORK

PUBLIC SERVICE COMMISSION

CASE 23-G-0225 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service.
CASE 23-G-0226 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corporation d/b/a National Grid for Gas Service.
CASE 23-G-0200 - Petition of the Brooklyn Union Gas Company d/b/a National Grid NY for a New York State Sales Tax Refund under 16 NYCRR Section 89.3 and Request for an Extension.

EVIDENTIARY HEARING

DATE: May 20, 2024 at 11:00 a.m.

LOCATION: Empire State Plaza
Agency Building 3, 19th Floor
Albany, New York 12223

BEFORE: A.L.J. James Costello
A.L.J. Maureen Leary

Reported by Monique Hines

5/20/2024 - Evidentiary Hearing - 23-G-0225/0226/0200

APPEARANCES:

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I N D E X O F P R O C E E D I N G S

KEDNY/KENLI STAFF:

(Panel; KELLIE SMITH, JAMES MALOY, PATRICK O'BRIEN, ROSS TURRINI, PRADEEP KILETI, CHRISTOPHER CONNOLLY)

DEPARTMENT OF PUBLIC SERVICE STAFF:

(Panel; HIEU CAM, KWAKU DUAH, ANNA SENATORE, ROBERT CULLY, JOHN CASTANO, DAVIDE MAIORELLO, PHILLIP TABOR, PAUL DARMETKO, JEFFREY KLINE, DANIEL GADOMSKI)

PANELS, Sworn;

Direct Examination by Mr. Maloney *

Cross Examination by Ms. Aidun *

Cross Examination by Ms. Azulay *

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E X H I B I T I N D E X

Marked as	Described as	
721	KEDNY/KEDLI Bill Impacts on Customers	*

5/20/2024 - Evidentiary Hearing - 23-G-0225/0226/0200

(The hearing commenced at 11:00 a.m.)

A.L.J. COSTELLO: I call case number 23-G-0225, proceeding on motion of the Commission as to the rates, charges, rules, and regulations of the Brooklyn Union Gas Company doing business as National Grid, New York for gas service.

Case 23-G-0226, proceeding on motion of the Commission as to the rates, charges, rules, and regulations of KeySpan Gas East Corporation doing business as National Grid for gas service.

And case 23-G-0200, petition of the Brooklyn Union Gas Company doing business as National Grid N.Y., New York, for New York State sales tax refund -- for New York State sales tax refund under 16 New York C.R.R. Section 89.3 and request for an extension.

My name is James Costello, and with me is Maureen Leary. We're both Administrative Law Judges from the Department of Public Service who have been assigned to preside over these hearings.

So what I'm going to start with first is going briefly over what the exhibit list and just make sure we're -- we're settled with that. I just want to say we're here for an evidentiary hearing.

It was -- that was noticed by the Secretary of the Commission on April 25th, 2024.

And the purpose of today's hearing is to receive into evidence the joint proposal that has been filed in these proceedings on April 9th, 2024, as well as other exhibits and to allow cross examination of witnesses.

We will start by taking appearances and to streamline the process, what I'm going to do is I'll call people out and then you can make -- I'll call the parties out and you can make appearances for the parties. So we'll start with the companies.

MR. MALONEY: Good morning, Your Honors. On behalf of the companies, my name is Kenneth T. Maloney of the law firm of Cullen & Dykman L.L.P. Also appearing with me is Philip DeCicco, Vice-President and New York General Counsel, and Kris Kiefer, Assistant General Counsel and Director of New York Regulatory.

A.L.J. COSTELLO: Thank you. Department of Public Service staff?

MR. FORST: Good morning, Your Honors. You have Nicholas Forst and Peter Hilerio appearing on behalf of the Department of Public Service.

A.L.J. COSTELLO: Good morning. The City of New York?

MR. CONWAY: Good morning, Your Honors. You have Adam Conway from the law firm of Couch White on behalf of the City of New York. And with me also from Couch White are Robert Loughney and Melanie Franco.

A.L.J. COSTELLO: Good morning. Environmental Defense Fund?

MS. MURPHEY: Erin Murphy on behalf of Environmental Defense Fund.

A.L.J. COSTELLO: Okay. WE ACT for Environmental Justice?

MS. AIDUN: On behalf of WE ACT, Hillary Aidun and Meagan Burton of Earthjustice.

A.L.J. COSTELLO: The Public Utility Law Project, New York?

MR. SAAVEDRA: Good morning, Your Honors. It's Andrew Saavedra and Theresa Hotte on behalf of the Public Utility Law Project.

A.L.J. COSTELLO: Good morning. Alliance for a Green Economy, I believe, we're waiting for their representative to appear. Mary T. Finneran?

MS. FINNERAN: Mary T. Finneran.

A.L.J. COSTELLO: Okay. Good morning. Sane Energy Project? Natural Resources Defense Council? New York State Department of State Utility Intervention Unit? Oh. I'm sorry.

MS. KASOW: Good morning. This is Jillian Kasow on behalf of the Utility Intervention Unit at New York Department of State.

A.L.J. COSTELLO: Thank you. Margot Spindelman? Okay. Is there anyone else who is making an appearance who I have not called out? Okay. Not hearing anyone. An updated exhibit list was circulated by the companies on Friday.

We have, since that time, added numbers to the exhibit list and the exhibit list goes from number 1 to number 720. At this time, does any party have any corrections to the exhibit list? Okay. Not hearing any.

And are there any objections to the documents that are on the exhibit list? Okay. Without hearing any, we're going to move the exhibits numbered 1 to 720 into the record. And if there are any additional exhibits that are going to be entered, we'll -- we'll address them at the time that they're

being offered into evidence.

I just want to ask counsel for the companies and for D.P.S. staff at this time if they would stipulate that the pre-filed testimony and exhibits provided by them are true and accurate representations of the positions they would have taken prior to the joint proposal. First, with the companies?

MR. MALONEY: We would so stipulate, Your Honor.

A.L.J. COSTELLO: And D.P.S. staff?

MR. FORST: We would also stipulate.

A.L.J. COSTELLO: Okay. Thank you. This is just a reminder that we would like the companies and D.P.S. staff also to have the witnesses adopt the factual statements and the joint proposal statements and support and reply statements.

And we expect that we'll be having the companies admit into evidence the management audit testimony by Mr. O'Brien. Okay. With that we have the witnesses on the -- on the stand, or at the table. And we ask that you -- to the extent you can, please try to use the microphone so that we can capture your statements.

And for the record, try not to use acronyms. If you do the first time you use them, please explain what they are because not everyone knows what all the acronyms are. And what I'd like to do is starting with the company's witnesses, ask you one by one to state your names and business addresses for the record.

MS. SMITH: Good morning. This is Kellie Smith. My business address is 300 Erie Boulevard West, Syracuse, New York, 13202.

A.L.J. COSTELLO: Okay.

MR. MOLLOY: James Molloy. Business address, 40 Data Drive, Waltham, Massachusetts.

MR. O'BRIEN: Patric O'Brien. Business address is 40 Data Drive, Waltham, Massachusetts.

MR. TURRINI: Ross Turrini. Business address is 25 Hub Drive, Melville, New York.

MR. KILETI: Pradheep Kileti. Business address, 25 Hub Drive, Melville, New York, 11747.

MR. CONNOLLY: Christopher Connolly. Business address, 170 Data Drive, Waltham, Massachusetts, 02451.

A.L.J. COSTELLO: Thank you. I am now going to the Department of Public Service staff witnesses. Can you please state your names and business addresses for the record?

MR. CAM: This is Hieu Cam. Business address is 3 Empire State Plaza, Albany.

MR. DUAH: Kwaku Duah, spelled K-W-A-K-U first name, last name, D-U-A-H. Business address, 3 Empire State Plaza, Albany, New York 12223.

MS. SENATORE: Anna Senatore. Business address, 125 East Bethpage Road, Plainview, New York 11803.

MR. CULLY: Robert Cully. Business address, 3 Empire State Plaza, Albany, New York 12223.

MR. CASTANO: John Castano. Business address, 3 Empire State Plaza, Albany, New York 12223.

MR. MAIORELLO: Davide Maioriello. Business address, 3 Empire State Plaza, Albany, New York 12223.

MR. TABOR: Philip Tabor. Business address, 3 Empire State Plaza, Albany, New York

12223.

MR. DARMETKO: Paul Darmetko. Business address, 3 Empire State Plaza, Albany, New York 12223.

MR. KLINE: Jeffrey Kline. Business address, 3 Empire State Plaza, Albany, New York 12223.

A.L.J. COSTELLO: Okay.

MR. GADOMSKI: Daniel Gadomski. Business address, 3 Empire State Plaza, Albany, New York 12223.

A.L.J. COSTELLO: Thank you. And my understanding is, counsel for D.P.S. staff informed us earlier that one of the witnesses that they had originally identified is unable to make an appearance today, and that's Catherine Mammen.

However, the other witnesses are qualified to answer any questions that Ms. Mammen would have been able to answer. Is my understanding correct?

MR. FORST: Yes, Your Honors. Your understanding is correct.

A.L.J. COSTELLO: Thank you. Okay. I asked the witnesses to please stand and raise your

right hands. Do you swear or affirm that the testimony you will provide is the truth? You each just say yes when --.

WITNESSES: Yes.

WITNESSES; Sworn

A.L.J. COSTELLO: Okay. All right. Thank you. You may be seated. Okay. I'll turn it over to counsel.

MR. MALONEY: Your Honor, for the purpose of clarity and brevity in the record, I was going to ask Mr. O'Brien to serve as the spokesperson for these consensus questions I'm going to ask.

A.L.J. COSTELLO: That's fine.

DIRECT EXAMINATION

BY MR. MALONEY:

Q. Good morning, Mr. O'Brien. Has the panel read and is the panel familiar with the factual statements contained in the joint proposal dated April 9th, 2024 and filed in this proceeding?

A. (Mr. O'Brien) Yes.

Q. In addition, has the panel read and is the panel familiar with KEDNY and KEDLI's statements in support of the joint proposal dated May 1, 2024 and KEDNY and KEDLI's reply statement in

support of the joint proposal dated May 10th, 2024?

A. Yes.

Q. Mr. O'Brien, do you have any corrections or changes to any of the factual statements particularly in the -- in the initial statement in support?

A. Yes. So one correction. So in the initial statement in support, Appendix 1 has been superseded and replaced by Appendix 1 in the reply statement. Other than that, no -- no other corrections.

Q. And for the purpose of the record, I believe those exhibits are numbered 688 and 715 in the record right now in the exhibit list.

A.L.J. LEARY: 718?

MR. MALONEY: 715, I believe, Your Honor.

A.L.J. COSTELLO: Okay.

A.L.J. LEARY: And can you just elaborate, Mr. O'Brien, on what the correction was?

THE WITNESS: Sure. There was a calculation error in the column that was labeled in the original Appendix 1 to statement in support the column labeled, Commission Accepted Method. That has

been corrected in the Appendix 1 to the reply statement in support.

A.L.J. LEARY: So the figures are different?

THE WITNESS: Correct, Your Honor. The figures are different. And --.

A.L.J. LEARY: Offhand, do you know what the figures are? The new -- old figure AND the corrected figure?

THE WITNESS: I'm sorry, can you repeat the question?

A.L.J. LEARY: What are the figures that were corrected?

THE WITNESS: So --.

A.L.J. LEARY: Are there are a number of them?

THE WITNESS: It was -- it was -- Your Honor, it was all the -- the figures in the Commission accepted column.

A.L.J. LEARY: Okay. Thank you.

THE WITNESS: You're welcome.

BY MR. MALONEY: (Cont'g.)

Q. Okay. And with that correction, does the -- does the panel affirm that the factual

statements set forth in the joint proposal, the company's statement in support, and the company's reply statement are correct to the best of your knowledge, information, and belief?

A. Yes.

Q. And do you adopt those factual statements as your sworn testimony in this proceeding?

A. Yes.

Q. Thank you.

A.L.J. COSTELLO: Do you want to -- since you're dealing with Mr. O'Brien then, do you want to do the testimony?

MR. MALONEY: That is -- okay. Yes.

BY MR. MALONEY: (Cont'g.)

Q. Mr. O'Brien, do you have before you a document that consists of eight pages of testimony under a cover sheet labeled testimony of Patric O'Brien?

A. I do.

Q. And does that testimony concern the manage -- status of the management audit that was performed for the companies?

A. It does.

Q. Okay. And this was part of the company's April 28th, 2023 filing in this proceeding?

A. That's correct.

Q. And if I were to ask you the questions appearing in your direct testimony today, would your answers be the same?

A. They would be.

Q. And do you adopt your prepared testimony as your sworn testimony in this proceeding?

A. Yes.

MR. MALONEY: Okay. Thank you. And with that, I ask that Mr. O'Brien's testimony be copied into the record as if orally given.

A.L.J. COSTELLO: Okay. Thank you. The motion is granted. And at this point --.

A.L.J. LEARY: Can we have this?

A.L.J. COSTELLO: No. We don't need -- we don't need it.

A.L.J. LEARY: No. I know, I'm just asking.

MR. MALONEY: Oh. I have them if you -- if you'd like copies.

A.L.J. COSTELLO: At this point in the -- in the record, we're going to admit the direct

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testimony of Patric O'Brien, dated April 28th, 2023, as though given orally here today.

Before the Public Service Commission

THE BROOKLYN UNION GAS COMPANY D/B/A NATIONAL GRID NY
And
KEYSPAN GAS EAST CORPORATION D/B/A NATIONAL GRID Direct

Testimony

of

Patric O'Brien

Dated: April 28, 2023

Testimony of Patric O'Brien

I. Introduction and Qualifications

Q. Please state your name and business address.

A. My name is Patric R. O'Brien. My business address is 170 Data Drive, Waltham, Massachusetts 02451.

Q. By whom are you employed and in what capacity?

A. I am employed by National Grid USA Service Company, Inc., a subsidiary of National Grid USA ("National Grid" or the "Company"), as Vice President, Regulation and Pricing. My responsibilities include overseeing regulatory matters for National Grid's New York businesses, including The Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY"), KeySpan Gas East Corporation d/b/a National Grid ("KEDLI"), and Niagara Mohawk Power Corporation d/b/a National Grid ("NMPC").

Q. Please describe your educational background and business experience.

A. I received a Bachelor of Science in Sociology with a concentration in Criminology and Law from Suffolk University in 1997 and a Juris Doctorate from New England School of Law in 2001. I have worked for National Grid for over 14 years, primarily as an attorney holding various roles of increasing responsibility within the Legal department. In 2021, I became the Vice President of New York Compliance where I was

responsible for establishing a framework to ensure compliance with all regulatory requirements in New York. A critical component of this framework was second line assurance controls testing. I assumed my current role in January 2023.

II. Purpose of the Testimony

Q. What is the purpose of your testimony?

A. The purpose of my testimony is to describe the status of the Commission's Comprehensive Management and Operations Audit of National Grid's New York electric and gas businesses in Case 18-M-0195 ("Management Audit"), that was originally conducted by Saleeby Consulting Group ("SCG") but completed by Department of Public Service Staff ("DPS Staff").

Q. Are you sponsoring any exhibits through your testimony?

A. Yes. I sponsor one exhibit that was prepared under my direction and supervision:

- Exhibit ___ (PRO-1) is a copy of a letter dated March 20, 2023 from DPS Staff accepting as complete all recommendations from the Management Audit.

Testimony of Patric O'Brien

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III. Management Audit Update

Q. Please provide a brief summary of the Management Audit process.

A. On May 17, 2018, the New York State Public Service Commission ("Commission") issued an "Order Instituting Proceeding and Authorizing Issuance of a Request for Proposals" ("Audit Order") for an independent consultant to conduct a Management Audit of National Grid's New York electric and gas businesses in accordance with Section 66(19) of the Public Service Law ("PSL"). In September 2018, the Commission selected SCG to conduct the Management Audit under the supervision of DPS Staff. From November 2018 through October 2019, SCG audited National Grid's New York electric and gas businesses, focusing on 12 traditional audit areas:

- Corporate Governance
- Information Systems
- Electric Planning and Grid Modernization
- Electric Load Forecasting and Supply Procurement
- Gas Planning
- Gas Safety
- Budgeting and Finance
- Project Management
- Program Management

- Work Management
- Performance Management
- Customer Operations

In October 2019, DPS Staff informed the Company they were terminating the contract with SCG, due to no fault of National Grid. In December 2019, DPS Staff advised they would complete the Management Audit based primarily on the interviews and materials already obtained from National Grid, with additional interviews and information requests, as necessary.

DPS Staff conducted a thorough and professional audit marked by open and productive discussions among the parties. Throughout, National Grid was fully committed to the Management Audit with the goal of demonstrating its full capabilities and receiving meaningful feedback that would drive useful recommendations to improve the Company's electric and gas operations for the benefit of its customers. Over the course of almost two years, the Company:

- Spent thousands of man hours on the audit;
- Answered more than 1,400 information requests;
- Participated in almost 300 interviews, including interviews of senior executives, US President, Global CEO, and Board of Directors;

- Supported field visits across the Company's New York service territory; and
- Held multiple technical sessions on various topics.

Q. Please describe the results of the Management Audit.

A. In September 2020, DPS Staff completed its final audit report ("Management Audit Report") for Commission consideration. The report described generally strong performance by National Grid's New York business in a number of key functional areas, including electric and gas operations, performance and project management, capital delivery, budgeting and finance, and customer service. The Management Audit Report also acknowledged the efforts undertaken by National Grid to manage customer bill impacts through the Company's aggressive efficiency programs. The Management Audit Report offered 24 recommendations aimed at improving National Grid's performance. The Commission released the Management Audit Report on November 19, 2020.

While the Company did not agree with all of DPS Staff's findings and conclusions, National Grid acknowledged that, overall, DPS Staff's recommendations provided a set of constructive proposals to enhance the day-to-day performance of the New York electric and gas businesses.

Accordingly, National Grid generally accepted the recommendations presented in the Management Audit Report.

On December 21, 2020, pursuant to PSL Section 66(19), the Company filed an initial Implementation Plan with the Commission detailing its plans to implement the Management Audit recommendations.

Q. Did the Commission accept National Grid's Implementation Plan?

A. Yes. On May 13, 2021, the Commission issued an "Order Approving an Implementation Plan" ("May 2021 Order"). In the May 2021 Order, the Commission approved National Grid's Implementation Plan and directed the Company to implement the proposed actions described therein.

Q. What does the May 2021 Order require with regard to reporting on the status of the Implementation Plan?

A. National Grid must file a written update to the Implementation Plan at least every three months. The update must describe the implementation status of each recommendation, implementation action steps (major activities), and the deliverables identified in the Implementation Plan. To date, the Company has submitted ten updates to the Implementation Plan. These

reporting requirements continue until Staff determines that the Implementation Plan is fully implemented.

Q. What is the current status of the Company's compliance with the Implementation Plan?

A. As set forth in Exhibit ___ (PRO-1), on March 20, 2023, DPS Staff informed the Company that it had accepted as complete all recommendations from the Management Audit. The March 20, 2023 letter closes the Management Audit.

IV. Management Audit Costs

Q. Does the revenue requirement include costs associated with the Management Audit or future management audits?

A. No. There are no Management Audit costs in the Historic Test Year. Similarly, KEDNY and KEDLI did not reflect any future audit costs in the Rate Year or Data Years because the timing of the next management and operational audit is unknown. If the Commission were to undertake a future management or operational audit, the Company's expectation is that it would be able to defer those costs for future recovery.

V. Conclusion

Q. Does that conclude your testimony?

A. Yes, it does.

A.L.J. LEARY: Okay.

A.L.J. COSTELLO: And let me turn it over to Department of Public Service staff.

MR. FORST: Good morning, panel. D.P.S. staff members of the panel, do you adopt as your sworn testimony in these proceedings the factual statements contained in staff statement in support of the joint proposal filed on May 1st, 2024 and staff's reply statement in support of the joint proposal filed on May 10th, 2024?

PANEL: Yes.

MR. FORST: Thank you.

A.L.J. COSTELLO: And the joint proposal as well as or?

MR. FORST: D.P.S. staff members of the panel, are you familiar with and have you read the joint proposal filed on -- excuse me, April 9th, 2024?

PANEL: Yes.

MR. FORST: Yes. And D.P.S. staff members of the panel, do you adopt as your sworn testimony in these proceedings the factual statements contained in the joint proposal filed on April 9th, 2024?

PANEL: Yes.

MR. FORST: Okay. Thank you.

A.L.J. COSTELLO: Thank you. With that, as far as we're aware, we have a cross examination by WE ACT for Environmental Justice.

CROSS EXAMINATION

MS. AIDUN: Thank you, Your Honor. We'd like to start with some questions about the company's Newtown Creek Biomethane Project. I believe that Mr. Connolly will be the witness for that.

BY MS. AIDUN:

Q. Mr. Connolly, good morning.

A. (Mr. Connolly) Good morning.

Q. I'm Hillary Aidun. I'm an attorney for WE ACT. Mr. Connolly, you're the Vice President of New York Gas Operations for National Grid?

A. Correct. Gas network operations.

Q. Thank you. So you oversee the infrastructure and operations of National Grid's gas system in KEDNY's territory?

A. I do. I'm responsible for our control centers and I'm responsible for the pressure

regulating assets throughout our New York service territory.

Q. So that would include KE -- KEDLI's territory?

A. That's correct.

Q. I'd like to talk to you about the company's Newtown Creek Biomethane Project. You're familiar with --

MR. MALONEY: If I could just wait for a second and -- and clarify that while Mr. Connolly -- these questions are being directed to him, any member of the panel may answer the questions. The panel may confer as they wish to --.

A.L.J. COSTELLO: That's -- that's correct. The panel -- the panel has put forth. You know, it's a panel so the panel can -- can respond --

MR. MALONEY: Thank you.

A.L.J. COSTELLO: -- for the whole, if they want.

MS. AIDUN: Thank you, Your Honors.

BY MS. AIDUN: (Cont'g.)

Q. You're familiar with the company's Newtown Creek Biomethane Project?

A. I am.

Q. And you're familiar -- my understanding is that there's a wastewater treatment plant that the city owns and operates at that site, as well as anaerobic digesters. Is that right?

A. That is correct.

Q. And the city owns and operates a facility that creates biomethane from the biogas produced at the wastewater treatment plant?

A. Correct.

Q. And the company refers to that process as purification or conditioning?

A. Correct.

Q. And the company also has an interconnection that brings biomethane from the purification facility to the distribution system?

A. Correct.

Q. I have some operation -- some questions about the operations of the biomethane project. You can speak to those?

A. I can, yes.

Q. Specifically, I have some questions about an interrogatory response that the company provided to WE ACT which provides some high-level overview of the purification process at the

facility that has been marked Exhibit 694.

MS. AIDUN: Your Honors, may I approach the witness to show Mr. Connolly Exhibit 694 so that he can follow my line of questioning?

A.L.J. COSTELLO: Yes. You have copies do you not?

MS. AIDUN: I do, Your Honor.

A.L.J. COSTELLO: Okay.

BY MS. AIDUN: (Cont'g.)

Q. The exhibit that I just handed you is the company's response to WE ACT's 150th interrogatory. Would you like a moment to familiar -- familiarize yourself with the document?

A. I'm familiar with the document. Thank you.

Q. Great. Thank you. I just want to make sure I understand what happens at each step of the process. My understanding is that when biogas reaches the purification system, it contains carbon dioxide. Is that right?

A. Yes, that's correct.

Q. And then carbon dioxide is removed during the purification process?

A. Correct.

Q. So is that carbon dioxide released into the air?

A. That carbon dioxide is sent to our thermal oxidizer. And it's -- it's burned off and released.

Q. Thank you. So the thermal oxidizer -- my understanding from the company's response is that the thermal oxidizer is used to handle the waste stream. Does the waste stream include the carbon dioxide?

A. Yes.

Q. Is there anything else in the waste stream?

A. There are other components in the waste stream. Water is another component in the waste stream. And oxides of -- of nitrogen are also in the waste stream.

Q. And so when the thermal oxidizer runs, carbon dioxide is emitted?

A. That is correct.

Q. And oxides of nitrogen are emitted?

A. Correct.

Q. And other components are emitted?

A. Yes. Other components.

Q. What are those other components?

A. I'm not familiar with the other components listed, but primarily it's the carbon dioxide, the water, and the oxides of nitrogen.

Q. Thank you. Does the company track how much carbon dioxide is emitted at that step?

A. (Mr. Kileti) The -- the way we actually track it is we measure the volume of biogas entering our system. And for the past four months, the efficiency has been at 92 percent and the remaining 8 percent is the one that is actually going to the detox, the thermal oxide.

So 8 percent which does not meet the pipeline standards is the one that goes through that process.

Q. Thank you. Just for my understanding, do you mind answering yes or no if the company tracks carbon dioxide that -- that is emitted during the -- the thermal oxidizer step?

A. We do not specifically track carbon dioxide. We only track how much of R.N.G. we are gathering from the biogas.

Q. Okay. So the company does not know how much carbon dioxide is emitted at that step?

A. Directly, no.

Q. Okay. Thank you. I also understand that during the purification process, impurities are separated from the biogas. What are those impurities?

A. Majority of that is water vapor and carbon dioxide. Apart from that, we do not have the list of impurities that come as part of the biogas.

Q. And those impurities are emitted into the air?

A. As a process, they're actually burned off. That's part of the 8 percent that does not get into the system.

Q. So when the impurities are burned off, what's emitted is carbon dioxide?

A. That's right.

Q. As well as NOx?

A. Yes.

Q. And other emissions that are not -- that the company does not know what they are? Is that right?

A. That's right.

Q. And the thermal oxidizer runs on gas. Is that correct?

A. Yes.

Q. Does it use the biogas that's produced on site?

A. No. We don't think it uses it.

Q. It uses fossil natural gas?

A. (Mr. Connolly) We believe so. Subject to verification. We can confirm that.

A.L.J. LEARY: Okay. So I just need to know who -- who of the two of you has the familiarity with Newtown Creek and the R.N.G. system?

THE WITNESS: (Mr. Kileti) Chris Kavanaugh, Vice-President is the Vice. He's the Vice-President of Operations.

A.L.J. COSTELLO: Connolly. Go ahead.

THE WITNESS: Chris Connolly.

THE WITNESS: (Mr. Connolly) So I have the responsibility for the operation of the Newtown Creek biogas conditioning facility.

A.L.J. LEARY: I got it. But I'm going to the technical questions that are being presented just to see if we have a witness that can -

- because I don't know if that's -- is that you, Mr. Connolly, or is --

THE WITNESS: Well, so I'm -- I'm responsible for the operation of the asset. Some of the technical components of the design, right, I defer to my colleague, Pradheep, here --

A.L.J. LEARY: Okay.

THE WITNESS: -- to help support the answer to all those questions.

A.L.J. COSTELLO: So I think what prompted this was when you said subject to verification, which we're trying to avoid because --

THE WITNESS: Right.

A.L.J. COSTELLO: -- you know, you're here today to answer questions. Is there anything that you can look at, at this, you know, at this point in time that would help you know what -- what -- whether that information is true?

THE WITNESS: We -- we can -- if we take a brief moment, we can -- we can confirm that answer here.

A.L.J. COSTELLO: Okay. If -- do you -- do you want to take a minute or do you --

THE WITNESS: Yeah. We can do that.

Yeah. Let's do that.

A.L.J. COSTELLO: Okay. Yeah. Let's go off the record.

THE WITNESS: Okay.

A.L.J. COSTELLO: Just take a minute.

(Off the record; 11:24 a.m. to 11:25 a.m.)

THE WITNESS: (Mr. Kileti) It's confirmed which 100 percent fossil natural gas is used in the thermal oxide.

BY MS. AIDUN: (Cont'g.)

Q. Thank you. And combusting fossil natural gas also produces carbon dioxide. Is that right?

A. That's right.

Q. As well as NOx?

A. That's right.

Q. As well as particulate matter?

A. Yes.

Q. Does the company track emissions of carbon dioxide that result from using fossil natural gas to run the thermal oxidizer?

A. No, we don't.

Q. Do you track emissions of

particulate matter that result from using fossil natural gas to run the thermal oxidizer?

A. No, we do not.

Q. Do you track emissions of NOx that result from using fossil natural gas to run the thermal oxidizer?

A. NOx, yes.

Q. And the NOx that you track, are those direct emissions from the thermal oxidizer itself, or from the fossil gas combustion that powers the thermal oxidizer?

A. The NOx that we -- we count is the one that comes out of the thermal oxidizer.

Q. So you don't separately track NOx emissions that result from burning fossil gas to power the thermal oxidizer?

A. No, we don't.

Q. My understanding is that a buffer vessel is also used to collect waste. Can you explain what a buffer vessel is?

A. We need a moment on that one.

Q. Mr. Kileti, are -- are you conferring with colleagues?

A. That's right.

Q. Okay. You don't -- you don't know off the top of your head what a buffer vessel is?

A.L.J. COSTELLO: But they're -- they're able to confer with their colleagues to get the answer. This is not individual witnesses. It's a panel of witnesses. So it's not improper for them to confer with witnesses.

MS. AIDUN: Of course, Your Honor.

THE WITNESS: We are ready --

A.L.J. COSTELLO: Okay.

THE WITNESS: -- Your Honor. The -- the tail gas system has a small tank of where some of the waste -- waste gets collected as it navigates through the thermal oxide. That particular is one -- what we call a buffer vessel. It's -- it acts as a buffer to store that. Thank you.

BY MS. AIDUN: (Cont'g.)

Q. Thank you for explaining that. Does the buffer vessel require energy to operate?

A. A buffer vessel directly comes and it gets stored. It's part of the thermal oxide.

Q. Okay. So it's just a container?

A. Yes.

Q. Okay. Thank you. And I understand that pumps are also used to collect waste. Is that right?

A. Could you please repeat that question?

Q. I understand that pumps are also used to collect waste?

A. We use pumps to push the waste.

Q. Okay. Thank you. And do the pumps require energy to operate?

A. Yes, they do.

Q. Do they also run on fossil natural gas?

A. We use electric pumps.

Q. They're electric?

A. Yeah.

Q. Okay. Thank you. And then the next stage, as I understand it, is the gas compression stage. Is it correct that gas compression reduces the volume of biogas and increases pressure?

A. That's right.

Q. Is any methane emitted during compression?

A. No.

Q. Does gas compression require energy?

A. Yeah. It's a -- it's a centrifugal pump.

Q. Does it also run on electricity?

A. Yes, yes.

Q. Thank you. I'd like to turn now to the flaring stage. My understanding is that flaring takes place during the process of creating biomethane. What is it that's getting flared?

A. When the biogas enters into the system. So for example, if 100 MMBtu of, say, biogas enters the system. And it goes through the conditioning where we dry it, where water vapor is -- is removed. Then excess carbon dioxide is removed.

And it goes to the analyzers, where it meets -- where it verifies basically whether it meets our pipeline quality requirements or not. So 91 to 92 percent of the gas that meets is injected into the pipeline.

The remaining 8 percent or 9 percent, which is not meeting that, goes into the recycle. And it goes into the buffer vessel and goes to

thermal oxide.

Q. And then it gets flared?

A. That's right.

Q. Does flaring emit carbon dioxide?

A. Yes.

Q. Does the company track those carbon dioxide emissions?

A. Not directly.

Q. Are those -- forgive me, are those -- are those the same emissions that result from the operation of the thermal oxidizer?

A. That's right.

Q. Okay. So there are emissions from the thermal oxidizer itself and emissions from the use of fossil natural gas to power the thermal oxidizer. And so flaring also emits NOx?

A. That's right.

Q. And does the company track those emissions?

A. We -- we track NOx.

Q. Okay. But the company doesn't track particulate matter emissions from that step?

A. That's right.

Q. Or any other emissions?

A. No, no.

Q. Thank you. I'd like to turn to the new biomethane inter --

A.L.J. LEARY: I just want the record to reflect. We're going to take a minute to allow the panel of witnesses to confer and perhaps elaborate a little bit more on the testimony, okay? Is there something that you need to add to your previous testimony, Mr. Kileti?

THE WITNESS: (Mr. Kileti) Nothing to add at this time.

A.L.J. LEARY: Thanks.

MS. AIDUN: Thank you.

BY MS. AIDUN: (Cont'g.)

Q. I'd like to turn to the new biomethane interconnections discussed in the joint proposal, unless there's anything to add about the Newtown Creek project.

A. No. Nothing to add. Please, go ahead.

Q. Okay. Thank you. Mr. Kileti, you're the Director of New York Gas Operations at National Grid?

A. That's right.

Q. So you oversee gas operations in KEDNY's territory?

A. I oversee the Future Of Heat already on the -- on the innovation --

Q. Okay. And --

A. -- for both KEDLI and KEDNY.

Q. You oversee the Future Of Heat program for KEDNY and KEDLI.

A. Yeah.

Q. And Future Of Heat includes biomethane and hydrogen projects?

A. It includes biomethane, it includes geothermal based distributing systems, and also hydrogen blending.

A.L.J. LEARY: Mr. Kileti, I'm going to ask you to speak just a bit more slowly. The record really --

THE WITNESS: Yes.

A.L.J. LEARY: -- this is actually recorded and there's someone on the other end of this company that will not really be able to capture this and we'll have a heck of a time getting a transcript. So just slow your testimony down just a bit and speak clearly. This actually goes for all the witnesses.

Thanks.

THE WITNESS: Yes, Your Honor. Thank you.

BY MS. AIDUN: (Cont'g.)

Q. And Mr. Kileti, as we were just discussing, you're familiar with what biomethane is?

A. That's right.

Q. And you're familiar with how biomethane is produced?

A. Yes.

Q. You're aware of the feedstocks that can be used to produce biomethane?

A. Yes.

Q. You're aware of the difference between biogas and biomethane?

A. We -- we know what biogas is. Raw biogas and renewable natural gas, what we call, is the one that meets the pipeline quality.

Q. Okay. And so you're familiar with the steps required to create biomethane out of biogas?

A. Yes. Just to be clear, it's not creating, it's purifying biogas to biomethane.

Q. Okay. Purifying biogas to -- to

be -- to biomethane.

A. That's correct.

Q. Turning biogas into biomethane?

A. Yes.

Q. Okay. Thank you for clarifying. So you're familiar with the -- the four new interconnections addressed in the joint proposal?

A. Yes. Two in KEDLI and two in KEDNY.

Q. And you sponsored those projects?

A. That's right.

Q. And you've sponsored other biomethane projects before?

A. Oh, not me.

Q. Okay. In New York City, one of the new biomethane interconnection facilities will be in southern Queens. Is that correct?

A. Yes.

Q. And it will be located at a wastewater treatment plant?

A. Yes.

Q. That wastewater treatment plant currently produces biogas?

A. Yes.

Q. And that biogas is created by anaerobically digesting wastewater sludge?

A. Yes.

Q. Does the wastewater treatment plant have digester eggs like at Newtown Creek?

A. I'm not familiar with that.

Q. And the wastewater treatment plant flares the biogas that is created there?

A. Yes.

Q. Do you know the current greenhouse gas emissions rate from that facility?

A. We do not.

Q. Do you know the current rate of NOx emissions from the facility?

A. We do not. Just to be clear, the facility belongs to a New York City D.E.P. And they have access to that data.

Q. Have you asked them for that data?

A. No, we did not. We asked them for the -- the -- the design of how much biomethane can be generated from there.

Q. So let's turn to what will happen when the biogas is turned into -- is -- is purified

and turned into biomethane. Again, I just want to make sure I understand all of the steps. A developer will take biogas from the wastewater treatment plant and purify it to make it biomethane?

A. That's right.

Q. Do you know what the footprint will be of the purification system?

A. No. We do not know that. We are only providing the interconnection.

Q. And as we were just discussing with respect to the Newtown Creek facility, the process of purifying biogas into biomethane requires a thermal oxidizer?

A. We do not know that.

Q. You don't know if a thermal oxidizer will be used?

A. It -- it's -- it depends on the developer and what kind of technologies they're using.

Q. Okay. Do you know who the developer will be?

A. We do not know it yet.

Q. Regardless of what steps go into the purification process, you would agree that some

form of energy is needed to run the purification process?

A. Yes.

Q. And will the develop -- will the developer be using fossil gas?

A. I cannot respond for the developer.

Q. So you don't know what energy source will be used for the purification process?

A. That's right.

Q. And you don't know what steps will go into the purification process at the Queens facility?

A. That's right.

Q. Mr. Kileti, you testified that this interconnection would reduce the carbon footprint of the wastewater treatment plant.

A. Yes.

Q. As well as associated emissions.

A. That's right.

Q. And that's because rather than being flared, the biogas will get turned into biomethane?

A. Yes.

Q. But the company is not creating the biomethane?

A. I'm sorry, could you please repeat the question?

Q. But as you were just saying the company will not be creating the biomethane.

A. That is right.

Q. The company will be building an interconnection?

A. Yes.

Q. And the biomethane will be created as a result of the interconnection?

A. No. Biomethane is created. Interconnection is providing -- ensuring the biomethane that we are getting is pipeline quality, pressure regulated and able to be injected into our network.

Q. So going back to your direct testimony that the interconnection will reduce the -- the carbon footprint of the wastewater treatment plant. Is the basis for that testimony that thanks to the interconnection, the biogas will not be flared, but instead will be purified?

A. That's right.

Q. And so that purification will happen as a result of the interconnection being built?

A. After the purification is done, that's when we will interconnect it.

Q. But your testimony that any reductions that occur as a result of biogas getting purified rather than flared should be attributed to the interconnection. The basis for that testimony is that the interconnection will lead to the biogas being purified rather than flared?

A. It's actually the other way around. An interconnection provides a way for a biogas which gets purified into biomethane that meets the pipeline quality to get injected into the pipeline. Without the interconnection, there is no injection of R.N.G. or renewable natural gas or biomethane into the network.

What that means is 100 percent of the biogas will be flared. Which otherwise, once interconnected, it's going to reduce drastically.

Q. And that's the basis for your testimony that the interconnection will reduce the carbon footprint of the wastewater treatment plant?

A. That's right.

Q. Even though it's not the company that will be purifying the biogas?

A. That's right.

Q. But the company doesn't know whether new emissions will be created through the purification process?

A. The developer of the wastewater treatment plant files the permits, Title 5 specifically, that has the -- all the permit requirements, all the emission requirements that go as part of that.

Q. And the company does -- has not asked for that information?

A. No.

Q. Okay. I just want to make sure I understand that your testimony is that the company -- that any reductions that take place as a result of biogas being purified should be attributed to the interconnection.

But any new emissions that take place as a result of biogas being purified should not. Is that -- is that your testimony?

A. No. That's not my testimony.

And just to be clear, we are not counting the emissions coming from the R.N.G. facility. We counted the avoided emissions that are avoided in the upstream pipeline.

Q. And so your testimony that the purification -- I'm sorry, your testimony that the interconnection will reduce the carbon footprint of the wastewater treatment plant is based on?

A. It's based on the GREET model which was developed by the Argonne National Laboratory. So based on the source, for example, wastewater treatment plant or a food waste, the GREET model gives us the emission factors.

Just like natural gas has an emission factor. And based on these factors, we can quantify how much emissions are going to be reduced. So for example --.

Q. Mr. Kileti, if I can just finish my question. Again, the basis for that testimony that any emissions reduction should be attributed to the interconnection, is that -- but for the interconnection, that biogas would be flared. Is that right?

A.L.J. COSTELLO: You're now asking a

different question. You did ask him a question about what his testimony was and he was providing an answer to that question. You've now changed the question. So do you want to continue answering what the original question was?

THE WITNESS: Yes, Your Honor.

A.L.J. COSTELLO: Okay. You may do that.

THE WITNESS: Yeah. So -- so that's how we quantify the emissions coming from the GREET model. And based -- this wastewater treatment plant, so we know how much of emissions are -- are getting reduced.

BY MS. AIDUN: (Cont'g.)

Q. And how much the emissions are getting reduced from the plant itself because flaring is not taking place?

A. So we anticipate approximately 6,104 metric tons of carbon dioxide avoided on the upstream.

Q. The upstream, meaning the displaced fossil gas?

A. That's right.

Q. Okay. So your testimony -- I'm

still not understanding the basis for your testimony that the interconnection will reduce the carbon footprint of the wastewater treatment plant itself.

A. If you spare me a minute. Without the interconnection, the wastewater treatment facility is going to flare 100 percent of the biogas. At design capacity we looked at it, it's going to be producing approximately 570 dekatherms of gas per day.

If I use the GREET model to capture the emissions profile of that, it's going to reduce approximately 18,375 metric tons of carbon dioxide from that. So to be very clear and specific, providing this interconnection equipment enables us to inject a pipeline quality renewable natural gas.

Without this, the existing waste -- wastewater treatment facility is going to flare 100 percent of the biogas, just like they have been doing today.

Q. So the company essentially -- the avoided flaring gets attributed to the interconnection?

A. The -- the avoided flaring and also the -- the gas.

Q. But the emissions from the purification system do not get attributed to the interconnection?

A. The emissions of the purification system. Can you be more specific on that, please?

Q. Sure. As we discussed earlier, purification emits NOx. It also emits carbon dioxide if -- if fossil gas is used?

A. For -- for these interconnections, we do not know what the developer is going to use.

Q. And you -- and you haven't asked the developer what it's going to use?

A. We don't know who the developer is yet.

Q. So you don't know what -- what new emissions might be created from the purification system?

A. The developer is responsible to procure the Title 5 permit.

Q. And you don't know what new emissions will be created from the purification system?

A. We don't know.

Q. So after the purification happens, then the biomethane will go from the purification system into the company's distribution system?

A. That's right.

Q. And it will go through a new pipeline that the company is building?

A. No.

Q. It will go through a new pipe?

A. It's going to an existing network. The new pipe essentially is a bridge between our network and where R.N.G. is getting injected.

Q. And that new bridge is 1,350 feet of new pipe?

A. Yes. 1,350 feet.

Q. And there's a risk of methane leakage during those 1,350 feet?

A. There is no risk of a methane leak there. It's going to be constructed to the -- to the latest construction technologies that we have.

Q. There's no risk at all that any methane will leak?

A. If there is a leak, we are going

to fix it as we fix it -- a pipe today.

Q. Okay. Thank you, Mr. Kileti. I'd like to turn now to the other biomethane interconnection that will be built in New York City.

A. Yes, please.

Q. And that project will be located on Arthur Kill Road in Staten Island?

A. That's right.

Q. There's no wastewater treatment plant at that location right now?

A. That's right.

Q. There's no other facility at the site that is producing biogas?

A. That's right.

Q. Does the company know what the air quality is at that site?

A. No, we do not.

Q. Did the company choose that location?

A. No. We did -- we did not choose it. The developer chose that.

Q. Did the developer approach the company about the new interconnection?

A. Yes.

Q. So the interconnection will allow the developer to sell biomethane?

A. If they get the permits.

Q. If they get the permits, the interconnection will allow the developer to sell biomethane?

A. That's right.

Q. So I'd like to just go through the new facilities that will be built on Arthur Kill Road because I understand that the company won't be producing the biomethane there.

A. The company will not be producing biomethane in all the four R.N.G. interconnections that we proposed.

Q. A different company called Biogas Corporation will be producing biomethane at that site?

A. That's right.

Q. Okay. And Biogas Corporation's facilities will be a planned industrial development project?

A. Could you please repeat that?

Q. Your testimony refers to Biogas Corporation's facilities as a planned industrial

development project.

A. Oh, yes.

Q. And it's expected to produce over 2,100 dekatherms of biomethane per day?

A. That's right.

Q. And so just so I understand the steps of the whole process. First, Biogas Corporation will accept food scraps and paper processing waste?

A. Yes.

Q. And that waste will be brought in on trucks?

A. We do not know that.

Q. But you'd agree that the waste has to get there somehow?

A. Yes. But I cannot affirmatively say what the developer is planning to use.

Q. Okay. But the developer will have to use some sort of vehicle to get the waste to that site?

A. I could not answer for the developer.

Q. Have you asked the developer?

A. No, we did not.

Q. Would you agree though that the developer has to transport the food and paper processing waste somehow to that project site?

A. I know somehow, but I'm not really sure whether they're going to use a E.V. truck or any other truck or actually trucking at all. I do not know that.

Q. Has the company asked the developer to use electric trucks?

A. We have no say in the developer.

Q. And just going back to the Newtown Creek facility for a moment, it's expected to produce around 200,000 dekatherms of biomethane in fiscal year '25. Does that seem right?

A. For Newtown Creek?

Q. Yes.

A. That's the design condition. Yes.

Q. So by my math, that's about 766,000 dekatherms per year. I just multiplied that by 365.

A. It's not 365 days.

Q. Oh, okay. How many -- how many dekatherms per year -- do you have an estimate of how

many dekatherms per year the Newtown Creek facility will produce?

A. I -- I can get back to you in a few minutes.

Q. I'm happy to withdraw the -- the question. Actually, I'll withdraw the question and move on.

A.L.J. COSTELLO: He's -- he understands.

THE WITNESS: Okay.

MS. AIDUN: Thank you.

A.L.J. LEARY: Can I just ask a clarifying question? Did you say 200 per day? What did you -- what was the question?

MS. AIDUN: The biomethane facility on Staten Island will --

A.L.J. LEARY: No.

A.L.J. COSTELLO: The Newtown Creek.

A.L.J. LEARY: The Newtown Creek.

MS. AIDUN: Newtown Creek. 200,000 per year. I'm sorry, I skipped a question. I multiplied 2,100 dekatherms, which is what the Staten Island --

A.L.J. LEARY: Daily.

MS. AIDUN: -- facility will produce daily.

A.L.J. LEARY: Thanks.

MS. AIDUN: Thank you, Your Honor, for correcting my -- my math.

BY MS. AIDUN: (Cont'g.)

Q. Would you agree, regardless of the precise numbers, that the new facility on Staten Island will be a lot bigger than the Newtown Creek facility?

A. It depends on the waste. So a wastewater treatment plant will have a different footprint than a food waste plant. So I cannot confidently say it's going to be bigger or smaller.

Q. Can you explain how the footprints would be different?

A. I just said I could not say that.

Q. Okay. So turning to the process of creating biogas at the Staten Island Industrial Development Project, Biogas Corporation will take the -- the waste that it receives and it will use anaerobic digestion to create biogas?

A. We do not know that.

Q. But somehow it will create

biogas?

A. So Bio Corp is going to file for a Title 5 permit based on the emissions that's going to come out of whichever way they're going to process and purify the biogas into the -- into biomethane. So we do not have insight into their process.

We will only interconnect once the developer is going to receive all permits as required.

Q. And forgive me, just so I'm clear. The first step is to create biogas?

A. The first step is for the developer to go and get the permits.

Q. Okay. After they get the permits in terms of what will happen on the ground, will they be creating biogas somehow?

A. Yeah. Once they have the permits and within those permits, they're -- they're allowed to develop a -- a renewable natural gas developing facility.

Q. And so once the biogas is created, then they will purify it to create biomethane?

A. That's right.

Q. And as we discussed earlier, there are various steps involved in purification.

A. The one that we discussed were specific for Newtown Creek.

Q. So you don't know what steps will go into the biomethane production at the Staten Island facility?

A. That's right.

Q. And you don't know what energy source will be used?

A. That's right.

Q. For example, if fossil gas will be combusted?

A. That's right. We do not know that.

Q. Do you know if constructing the new facility will produce any emissions?

A. We do not know that.

Q. And then once the biomethane is produced at the Staten Island facility, it will be transported to the distribution system?

A. Once it is produced, it actually goes through our analyzers on the chromatograph. It validates whether the biomethane that we're getting

from the developer meets the pipeline quality gas. Once it meets it, it goes through the metering and then it gets injected into a network. Yes.

Q. And it will travel through 4,000 feet of pipe?

A. Approximately. We do not know the exact location of the -- of the plant yet.

Q. And is there a risk that some methane will leak?

A. It is going to be just like any other new pipe. If there is a leak, we are going to go fix it. But we don't expect any leak on a new pipe.

Q. So new -- new pipe never leaks?

A. It leaks, but the leak rate of a new pipe is far less. We can actually give you the numbers on that.

Q. If the company has an estimate of the -- of the leakage of that approximately 4,000 feet of pipe, that would be very helpful.

A. We can give you approximately leak rate per mile of -- of a polyethylene pipe in New York City. Yeah. Give us some time. We'll get -- get to that.

Q. Okay. Thank you.

MR. MALONEY: All right. I just want to be clear. I believe the witness is reaching out to parties who are not on the panel to get that information. I'm not sure that we need the information to continue. I don't know that there was a question about it at this point, but --

A.L.J. LEARY: Since the witness initiated this, I mean, I'm --

MR. MALONEY: But as long as you're okay with the witness reaching out for the information.

A.L.J. COSTELLO: Or can you, otherwise provide this information to counsel? I mean, is --

MR. KILETI: I do not have that information.

A.L.J. COSTELLO: No, no, I mean, I'm not saying today, but can you -- can -- would you agree that if you have the information, you will provide it to counsel?

MR. KILETI: Absolutely. Yes.

A.L.J. COSTELLO: Is that satisfactory if they provide it to you at another time?

MS. AIDUN: Yes, Your Honor.

A.L.J. COSTELLO: Okay. So that way you don't have to reach out to -- thank -- than you.

A.L.J. LEARY: Can I just get the witness? I just want to make sure the witness is on board with this. You have the ability to get this information from someone else?

MR. KILETI: That's right, Your Honor.

A.L.J. LEARY: Thank you.

MR. KILETI: Thank you.

MS. AIDUN: If it's possible for that information to be provided in the next few days, so that we can refer to it if need be. If a post hearing brief is allowed, that would be very helpful.

A.L.J. LEARY: Is that a -- how long -- I mean, it sounds like you could get this almost instantaneously if the witness is on his phone, so I don't think that's a problem. Is that okay?

MR. MALONEY: I think we should be able to do that.

A.L.J. LEARY: Okay.

MS. AIDUN: Thank you, Your Honor.

BY MS. AIDUN: (Cont'g.)

Q. Let -- let's turn then to the new

biomethane interconnections that will be located on Long Island.

A. Yes, please.

Q. One of the interconnections will be located at a wastewater treatment plant in Nassau County?

A. Yes.

Q. And that wastewater treatment plant currently produces biogas?

A. Yes.

Q. And that biogas is created by anaerobically digesting wastewater sludge?

A. Yes.

Q. Does that wastewater treatment plant have digester eggs?

A. I do not know that.

Q. And that wastewater treatment plant flares biogas?

A. Yes.

Q. Do you have the current greenhouse gas emissions rate from that facility?

A. No, we do not. We have the approximate design capacity of biomethane that we can inject from that facility.

Q. You don't have any other emissions information from that facility?

A. No, we do not.

Q. And so what will happen at this new project is that the developer will be taking biogas and purifying it to turn it into biomethane?

A. That's right.

Q. And you don't know what steps will be required to do that?

A. We do not know that.

Q. And you don't know what energy source will be used?

A. That's right.

Q. For example, whether fossil gas will be combusted?

A. Yeah, we do not know that.

Q. And you also testified that this interconnection, the one at the wastewater treatment plant in Nassau County, would reduce the carbon footprint of the wastewater treatment plant?

A. That's right.

Q. And associated emissions.

A. Yes.

Q. And that's because rather than

being flared, the biogas will be purified into biomethane?

A. That's right.

Q. And so those emissions reductions get attributed to the interconnection?

A. Yes. Those --.

Q. But any new emissions created during the purification process do not?

A. I just want to be sure here. When we say new emissions and the old emissions, the Title V permit is on the combined emissions, the total emissions that include, it's actually one emissions.

Q. Right.

A. That includes new as well as old emissions, whatever it is.

Q. Because to get net emissions, you have to add emissions reductions and emissions increases, right?

A. Yes, but in this case, the developer is the one who is going to file the Title V permit.

Q. So the developer takes responsibility for any new emissions?

A. That's right.

Q. And the company takes responsibility for emissions reductions?

A. The company takes responsibility for safely and reliably injecting a pipeline quality biomethane into the network.

Q. And your testimony that the purifica -- I'm sorry. Your testimony that the interconnection will reduce emissions at the wastewater treatment plant is based on the assumption that thanks to the interconnection, biogas will be purified rather than flared.

A. That's correct.

Q. So you would agree that any emissions reductions that occur, the company is asking the Commission to consider.

A. We did not ask the Commission to consider those emissions. We asked the Commission to consider upstream avoided emissions.

MR. O'BRIEN: Just -- let me interject. Just for clarity, the emissions reductions that were reflected in the calculations that were set forth by our C.L.C.P.A. panel, as Pradeep said a few times now is just the emissions

reductions from the avoided upstream capacity.

We're not -- we did not quantify the emissions reductions from the developers. That's not included in the calculation.

MS. AIDUN: Thank you. And so the C.L.C.P.A. panel's testimony that the R.N.G. projects, meaning the biomethane projects will reduce local emissions. That's not based on the assumption that the interconnection will lead to the biogas getting purified rather than flared?

MR. O'BRIEN: Yes, as Pradeep said that there will be emissions reductions, but we did not take credit for those emissions reductions in our calculations.

MS. AIDUN: Okay. I just want to clarify because, on page 33 of the C.L.C.P.A. panel testimony, starting on line two. The panel testified that the projects will reduce local emissions. And I understand that to mean emissions that take place at the project site rather than upstream. That's why I'm confused.

MR. O'BRIEN: Correct. As Pradeep had explained, the -- the in -- the interconnection allows, essentially allows the beneficial use of the

methane. So rather than being flared into the atmosphere, we're injecting it into the pipeline for additional capacity.

Now it does provide benefits because otherwise it would be flared, as Pradeep had explained, but we did not include those calculations in our emissions reductions. We just included the calculations associated with the avoided upstream capacity.

BY MS. AIDUN: (Cont'g.)

Q. So you didn't include the calculations, but qualitatively, the testimony is that the projects will reduce local emissions.

A. Yes.

Q. Because rather than being flared, the biogas will be purified?

A. That's right.

Q. But any emissions that result from purification, the company does not take responsibility for?

A. It's not one to one. I don't know the exact -- exact math. All right. We are -- we are literally comparing two different quantities here.

Q. And so once the biomethane is produced at the Nassau County project, it will travel through 1,000 feet of new pipe to the distribution system?

A. Approximately, that's right.

Q. And there's a risk of some methane leakage there as well?

A. We will probably do the exact same number for KEDLI as well.

Q. That would be great. Thank you.

A. Thank you.

Q. And in terms of the biogas that will be purified at the Nassau County project, right now, the biogas is created only from sludge. Is that right?

A. We are speaking about the same project in KEDLI?

Q. Yes.

A. Is it's going -- it's created from sludge right now.

Q. And the Newtown Creek Biomethane Facility, as you know, also uses biogas created from sludge.

A. Yes, and some part of it is also

food waste in Newtown Creek.

Q. It's also food waste in Newtown Creek.

A. Yes.

Q. So does the city have the discretion to bring food waste to the Queens wastewater treatment plant in order to create more biogas?

A. I do not know that.

Q. Under the joint proposal, the companies need to file reports 90 days before the interconnections are built?

A. Yes.

Q. With certain information?

A. Yes.

Q. Including what sources will be used to produce the biogas?

A. Yes.

Q. I'm sorry. To produce the biomethane.

A. Uh-huh.

Q. So the companies don't know what feedstocks will be used to produce the biomethane at each facility?

A. When -- whenever there's a change, we are going to submit that report.

Q. So it's possible that food waste could be brought to the Nassau County Wastewater Treatment Plant to create more biogas?

A. I cannot say what Nassau County Public Works is planning.

Q. And then finally, there's one more biomethane interconnection on Long Island.

A. Yes.

Q. Which will be located in Calverton Executive Park?

A. That's right.

Q. And there's no wastewater treatment plant at that site right now?

A. That's right. It's based on food waste.

Q. So there's no facility right now at that site that produces biogas?

A. That's right.

Q. Has the company conducted an analysis of the air emissions at that site?

A. No, we did not.

Q. Did the company choose that

location?

A. No, we did not.

Q. Did the developer approach the company about the interconnection?

A. Yes.

Q. So my understanding is that a company called C.E.A. Energy will take food waste and turn it into biogas at the Calverton Park facility?

A. Into biomethane. Yes.

Q. Okay. And first they'll need to turn it into biogas?

A. Yes, I would think like that.

Q. And then they will have to purify it?

A. Yes.

Q. And you don't know what steps they will use to purify it?

A. That's correct.

Q. You don't know what emissions will be created?

A. That's correct.

Q. You don't know what energy source will be used?

A. That's correct.

Q. Including whether fossil gas will be combusted?

A. That's correct.

Q. And then once the biomethane is produced, it will travel through about 2,600 feet of pipe to the distribution system?

A. Approximately, yes.

Q. And as we discussed, there's some risk of methane leakage?

A. The same number that I'm going to give you for Nassau County Public Works, we're going to give to this.

Q. Thank you.

MS. AIDUN: I have no further questions.

A.L.J. LEARY: Can I ask a couple of questions?

A.L.J. COSTELLO: Just before, I don't know if there's any other -- we don't -- we didn't have anyone indicate that they were going to do further cross, but given the questions and answers posed, do any other parties have any follow-up questions at this point in time?

Okay. Not seeing anyone, not hearing

anyone, I think --.

A.L.J. LEARY: I just need some clarification. So we've got the Title V permit that D.E.C. is going to administer, which will evaluate, let's talk about the -- the facility that you're going to inter -- interconnect with.

My question is at 30,000 feet, is there an analysis of the emissions that KEDNY or KEDLI will produce, based on natural gas, as compared to the total -- and that's the upstream issue that Mr. O'Brien raised. As compared to the emissions for the R.N.G., Renewable Natural Gas Production, the biomethane production, all told, that is, comparing the flare off versus the purification and what those two systems will emit.

So has -- is there anything before the Commission, and in this case, that will give us that comparison to say, oh, R.N.G. is -- is the way to go here because net, it will reduce emissions.

MR. KILETI: Yes, Your Honor. If I may take time to actually explain the whole process?

A.L.J. LEARY: Yes, thanks.

MR. KILETI: So based on the source of the -- of the waste, right? Wastewater treatment

plant or a food waste. Just like natural gas. So for every one dekatherm of natural gas that is consumed by a residential customer, it releases approximately 116 pounds of carbon dioxide.

And on and -- according to the E.P.S. So similarly, if the source is a wastewater treatment plant, the same one MMbtu. has a different footprint. I can give you the exact number if you give me just a minute to calculate that.

A.L.J. LEARY: The numbers are not really as important to me as how’s it net out? Is this the way to go or are we dealing with a problem of flaring from these facilities that is certainly a problem that needs to be addressed, but does it just sort of even out when you're comparing your emissions in terms of the use of natural gas that this is supposed to dis -- R.N.G. is supposed to displace.

How does it compare?

MR. KILETI: It's --

A.L.J. LEARY: I just -- I just need somebody to say, it compares favorably or because I'm not seeing, you know, the cost benefit. I'm not seeing the actual comparison in the record.

MR. KILETI: I -- I'm sorry. Yes,

Your Honor. It's -- it's actually a drastic difference. So for example, if you look at Newtown Creek without the -- the facility that we currently have, we have four large flarings that happen.

And those flares also use fuel to -- to burn. It's -- the new thermal oxidizer that we have is only one, probably one-third or the size of what it exists for one. So imagine four big flares that are flaring today to a small thermal oxidizer that is there today.

And those four big ones also use fuel to burn off. And this thermal oxidizer is also going to use fuel to burn off. However, the -- the volume of fuel used is drastically different. So for example, the way we are comparing right now, the fuel used to flare is far, far less than the volume of R.N.G. that we are getting.

A.L.J. LEARY: Super helpful.

MR. KILETI: Thank you, Your Honor.

A.L.J. LEARY: And -- and you understand why this is like a 30,000 foot inquiry, but it sounds to me like there's almost no comparison, really, when you're talking about flow -- for -- taking out for flaring emissions --

MR. KILETI: That's right, Your Honor.

A.L.J. LEARY: -- in favor of the renewable natural gas.

MR. KILETI: That's right, Your Honor.

A.L.J. LEARY: Thank you.

MR. CONNOLLY: And, Your Honor, if I may add? For the first year of service with Newtown Creek, the flaring activity at Newtown Creek has been reduced by 80 percent.

A.L.J. LEARY: Excellent. This is great for the record. The one other question I had was whether, when D.E.C. is face-to-face with that developer, whether this piece of the puzzle will be before them, because that Title V permit in this region will attract a lot of attention and that -- that occurred to me whether, you know, the company, sua sponte, would be interested or be asked by the developer to present that kind of more global view of the entire project from the facility that is producing the biogas and the biomethane and -- and the whole purification system into the interconnection and how it compares and -- and what the company's trying to do, because I don't think you're going to be across the table from D.E.C. in

the Title V permit context.

So I think this would be helpful in furtherance. This is very helpful for our record, but it might be helpful in furtherance of going forward on the Title V permits.

MR. KILETI: Yup. So Your Honor, if I might add?

A.L.J. LEARY: Uh-huh.

MR. KILETI: For example, the wastewater treatment plant in New York City where we have Newtown Creek, D.E.P. already has Title V permit. By having this connection, the emissions actually went far less. So they did -- there -- there is no need for them to go and file a new Title V permit because this is lowering the emissions.

A.L.J. LEARY: Just the new facilities that will be. Okay.

MR. KILETI: That's right, Your Honor.

A.L.J. LEARY: Thank you.

A.L.J. COSTELLO: Based on that, do you have any follow up?

MS. AIDUN: I do, Your Honor.

A.L.J. COSTELLO: Okay.

MS. AIDUN: Thank you.

BY MS. AIDUN: (Cont'g.)

Q. Mr. Kileti, you just mentioned that at Newtown Creek, when flaring occurs, when the biogas is flared, that uses gas. Does it use biogas?

A. I do not know that.

Q. But you do know that when the thermal oxidizer is flared, it uses fossil gas?

A. Yes.

Q. Which is brought in from somewhere else?

A. The reason why is the thermal oxidizer does not have lots of methane. The methane, whatever we can get is already part of the system.

Q. And so the Newtown Creek, when the biogas is flared, the city is able to use biogas to run that process?

A. We don't know that.

Q. Oh, I thought you just said that the thermal oxidizer had a -- had a different requirement or was different in some way. I might have misunderstood --.

A. Just to be sure. Our thermal oxidizer does not flare a raw biogas. It only flares the methane that does not meet the pipeline quality.

Q. Right. But in order to operate, it requires natural gas combustion?

A. That's right.

Q. And to follow up on the question about a benefit cost analysis, have you completed a benefit cost analysis for the four new interconnections?

A. No, we did not.

MS. AUDIN: And I just have a follow-up question to Mr. Connolly's statement that flaring has been reduced by 80 percent at the Newtown Creek facility since it came online.

BY MS. AIDUN: (Cont'g.)

Q. Mr. Connolly, National Grid provides emissions data to the city from the Newtown Creek Project?

A. (Mr. Connolly) We did, yes, NOx in our annual report.

Q. Okay. So you're -- you're familiar with the annual report?

A. I am, yes.

MS. AIDUN: Your Honor, may I approach the witness to hand him a copy? The annual report has been entered into evidence, and it is Exhibit

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A.L.J. COSTELLO: Okay. Yes, you may approach the witness. Thank you.

BY MS. AIDUN: (Cont'g.)

Q. Mr. Connolly, could you turn to page five, please, of the annual report? This says that the system has had between April 2023 and March 2024, approximately 4,719 hours of operation and 4,065 hours of down time.

During down time, flaring occurs at the Newtown Creek Wastewater Treatment Plant. Isn't that right?

A. Correct.

Q. So are these numbers correct?

A. They are.

Q. So I'm just trying to understand how it is that flaring was reduced 80 percent.

A. So that number that I shared earlier was information that D.E.P. had provided to -- to me last week.

Q. Okay. Thank you. And I believe I just have one more question based on the new testimony that we heard just now. Mr. Kileti, you've talked about the upstream avoided emissions from

using biomethane?

A. (Mr. Kileti) Yes, that's right.

Q. Is the company planning to buy the environmental attributes associated with the biomethane?

A. No, we do not.

Q. Isn't it true that whoever purchases those environmental attributes gets to claim the emissions reductions that result from the reduction of upstream emissions?

A. Not the upstream emissions. The developer can only claim the emissions that are from the biomethane that gets injected. So that is getting developed by them, not upstream -- upstream emissions.

Q. I don't understand. Can you explain what emissions reductions the environmental attributes signify?

A. So for example, let's take Newtown Creek, right? Because if we are getting 100 MMbtu of biomethane out of that, that 100 MMbtu is eligible for environmental credits as the developer has it. But because we are supplying the gas at Newtown Creek, which is avoiding gas from -- from the

wellhead to the distribution network, all those emissions, the developer does not get credit for that.

If there is no Newtown Creek, if there is no -- this 100 MMbtu of natural gas that is getting transported from the oil -- from the wellhead to the city gate, to the distribution network, all those emissions are avoided.

Q. Right. And those avoided emissions are what is signified by an environmental attribute?

A. Those avoided emissions do not go to the developer. The developer only gets the emissions that are developed by them. Not emissions that are avoided.

Q. And so in your view, the environmental attribute signifies the avoided emissions from the biogas not getting flared?

A. Just to be clear. The environmental credits are the ones that the developer gets for gas or biomethane generated or purified on their facility and gets injected.

Q. But what emissions reduction does that environmental attribute represent?

A. The one that I just said. So if -- if you are getting 100 MMbtu of biomethane from a wastewater treatment plant, the developer gets the environmental credits for the 100 MMbtu or dekatherms of biomethane produced in their facility, which gets injected into the network.

Q. You would agree that when someone buys an environmental attribute, they get to claim some emissions reduction, right?

A. They're getting emission environmental credits for reducing emissions, yes.

Q. And so emissions must be reduced somewhere in order to generate an environmental attribute?

A. Emissions are reduced by creation of biomethane, yes.

Q. So it's your position that the environmental attributes created by biomethane only signify the avoided emissions because flaring does not occur?

A. I think that we're getting confused in adding flare into the mix. I'll -- I'll repeat the whole process again. If we have this much of biogas, approximately 90 percent of the efficiency

gets into renewable natural gas.

So the developer gets credits for the 90 percent. The remaining 10 percent, which does not meet the pipeline quality natural gas gets flared. And they're -- nobody's getting in an -- sorry, environmental credits for the 10 percent.

Q. Right. I'm just trying to understand where the emissions reduction is, that the environmental attribute represents.

A.L.J. COSTELLO: I -- I believe he's explained this. He's telling you that the process with respect to what the developer deals with, that gets an environmental attribute that sold that the developer gets to -- to sell.

It does not deal with the upstream avoidance of upstream. So I think he's asked -- answered your question. So if -- if you have another follow up with that, go ahead, but I think he's answered your question.

MS. AIDUN: Okay. Thank you. I have no further questions.

A.L.J. COSTELLO: Thank you.

A.L.J. LEARY: I have one follow up. Anybody else have any questions? I -- I want to go

back to the 80 percent because I need to, Mr. Connolly understand, you came up with that percentage pretty quickly. So D.E.P. -- D.E.P. gave you that number --

MR. CONNOLLY: They did.

A.L.J. LEARY: -- you testified. And does that number include only or does it exclude the down time where you have the flare off or explain to me where the 80 percent comes from?

MR. CONNOLLY: Yeah. So what was pointed out in the annual report. The National Grid biogas conditioning system ran approximately 53 percent of the time for the first year of operation. Now in that first year of operation, the amount of biogas that is produced is variable.

So there are parts of the year where biogas produced more, a higher quantity, higher volume and parts of the year where it's produced less. So where D.E.P. is, I believe, getting their calculation is over that volume in a comparable year, that the emissions reductions or the reduced flaring was approximately 80 percent, and that's how they -- that's -- and that's the information that they shared with me last week.

A.L.J. LEARY: So do you expect that to continue, that type of 53 percent operation to continue going forward, or will it increase in terms of the efficiency in producing renewable natural gas?

MR. CONNOLLY: It already has increased. So since the start of 2024, we've actually running them -- confirming the number here.

A.L.J. LEARY: Take your time, please.

MR. CONNOLLY: So in 2024, since January 1, 2024, the hours online for the bio -- National Grid biogas conditioning system is 2,789. The hours offline is 498, which translates to approximately 85 percent operating time.

A.L.J. LEARY: So that may be more indicative of the future?

MR. CONNOLLY: Absolutely and better. So for the month of this month to date, month of May to date, we've run 95 percent of the time. We've been online 95 percent of the time. So we endeavor to run 100 percent of the time, and that's the goal for all of us to reduce and eliminate the -- the flaring that has occurred for years and years at Newtown Creek.

So the goal is for this asset to run

very reliably and consistently, so that we can make that happen.

A.L.J. LEARY: Thank you.

A.L.J. COSTELLO: Any further follow-up questions?

MS. AIDUN: No, Your Honor. Thank you. Although, we would like to -- yes, no more questions. Thank you.

A.L.J. COSTELLO: Thank you. Do you want to -- see if you'd need some time to determine whether you need to recross? I mean redirect.

MR. MALONEY: Your Honor, could -- could we go off the record for about ten minutes?

A.L.J. COSTELLO: Sure.

MR. MALONEY: And I don't think we'll have any more on that.

A.L.J. COSTELLO: Okay.

(Off the record 12:50 p.m.)

(On the record 12:50 p.m.)

A.L.J. COSTELLO: Okay. Yeah, why don't you -- why don't you --

MR. MALONEY: You have questions as well?

A.L.J. LEARY: I do.

MR. MALONEY: Okay.

A.L.J. LEARY: Just quickly in reviewing, this has to do with the non-pipe alternatives which the joint proposal covers. The question I guess, I have is, let's say over the last three rate cases, what are the non-pipe alternatives? I'm not even sure. I just did the last rate case and this one, I don't know about the previous one, but you can correct me.

What are the non-pipe alternatives that have been adopted by the company in over those three rate cases?

MR. O'BRIEN: So Your Honor, Patric O'Brien. So the -- if you look at the last case, the 2019 case established like the framework for the company for non-pipeline alternatives, that was one of the first utilities in the State to have that framework.

There were -- there was basically, I guess, three, I guess, I call them tiers. The first was around electric -- electric -- electrification referrals to PSE&G and LIPA. The second was around a commitment for L.P.P. to issue R.F.P.s for five segments of L.P.P.

And for the others were main extensions of 500 feet or more served by five or more customers. The company would offer geothermal estimates to those customers. You know, we've been -- we also track those with the capacity demand metrics while we've been meeting those commitments.

We haven't been able to develop a successful N.P.A. today, you know, to that end.

A.L.J. LEARY: I knew that, but that's why I'm asking it.

MR. O'BRIEN: Yeah.

A.L.J. LEARY: Just to put it on the record.

MR. O'BRIEN: Got it. Okay.

A.L.J. LEARY: So going forward, talk to me about that. What is -- I mean, I'm not exactly seeing how things will change, so we actually get an N.P.A. that makes a difference. So what -- what -- what -- what going forward in this rate plan will make that more likely?

MR. O'BRIEN: Yeah. So we were challenged, I mean, all throughout testimony, discovery, settlement to look for ways to expand the program. And -- and there's really, I guess, four

key elements of the joint proposal that does that.

The first is, we will renew our commitment to incorporate the N.P. -- N.P.A. analysis, non-pipeline alternative analysis as part of our standard capital planning program. Second, there's essentially dedicated programs created.

So it expands the opportunities from which N.P.A.s will be considered. So N.P.A.s will now be considered for leak prone pipe replacement, main extension, service line replacement, as well as system reinforcement.

So unpacking that a bit for -- we will pri -- the company commits to prioritizing N.P.A.s in disadvantaged communities. With respect to L.P.P., we agreed to reach out and work with the New York City Housing Authority on an expanded N.P.A. program.

We also agreed to better align the L.P.P. -- L.P.P. program with the N.P.A. program. So what that does is we would essentially align the two programs, so they work in cycles. So there's a five-year cycle.

And the purpose of doing that is to give customers advanced notice of when N.P.A. opportunities will -- will come about through the

L.P.P. program. So one of the issues and the challenges we have is customer adoption.

So by giving them advanced notification of when L.P.P. will be replaced in the neigh -- neighborhood years ahead of time, that will help us expand the program. Third key element is around outreach and education. So there's expanded outreach and education.

So in addition to utilizing our internal F.T.E.s as part of the program, there's a commitment to retain an implementation plan contractor. That contractor needs to be versed in -- in N.P.A.s and N.P.A. technology.

It also expands the, I guess, the programs around outreach and education. So in addition to the traditional like, you know, letters, calling, mailers, we have to do naturally boots on the ground, go up to, you know, go to doors, knock on doors, participate at community events.

Again, helping to serve, to address that customer adoption issue that we've had. The final element is around robust reporting and stakeholder outreach. So it requires a -- a number of reports annually. It requires us to work and have

annual meetings with stakeholders.

As part of that stakeholder outreach, we would, you know, listen to stakeholders, you know, tell them, you know, this is what we did this year, this is what worked, this didn't work, and get their feedback.

And in that way, we hope to, you know, I guess solve the challenge that we've had in the past.

A.L.J. LEARY: So a couple of follow on the electrification referrals that you made in the last rate case to Consolidated Edison. How many of the 200 referrals actually electrified?

MR. O'BRIEN: I do not know that off the top of my head. We can get you that information.

A.L.J. LEARY: Any? Is there any?

MR. O'BRIEN: Yeah. So Con Ed did not give us that information, so we don't have that information.

A.L.J. LEARY: So does Con Ed give that to anybody like D.P.S. staff, so that we can evaluate that particular commitment? I'm -- I'm seeing staff might have an answer if that's okay with everybody.

MR. CULLY: So at the -- excuse me. At the present time, we do not separately track the number of customers that decide to go with a heat pump as a result of a referral specifically from KEDLI or KEDNY. I know that we have the heat pump numbers that we could provide.

And I know they're reported in the company's annual reports of the -- I'm sorry, the company at Con Edison's annual reports of how many customers did move forward through their clean heat program, but I do not believe there's presently a nexus between those two data streams.

And that's one of the things that we are trying to get better at in the joint proposal here is, better tracking of the ultimate fate of those customers or -- or would be gas customers that will now have a greater push to try and electrify those customers instead of simply connecting them to the gas system.

For better or worse, customers still ultimately have the final choice of whether or not they electrify with a heat pump or connect to the gas system.

A.L.J. LEARY: So this is a

fundamental question, and I apologize if I don't really understand this. But is every N.P.A. customer driven? So there -- or are there N.P.A.s that you can actually implement that, that are not dependent on someone else choosing, a customer choosing, but it would be company driven?

Because I -- I thought I had seen N.P.A.s that looked like that, but I could be wrong.

MR. CULLY: So it really depends on the type of N.P.A. project, the specific piece of infrastructure that is attempting to be avoided. When we're talking about a leak prone pipe replacement project, that's really specific to individual specific customers on that piece of pipe.

And you pretty much need all or almost all of the customers on that section of pipe to all agree, roughly at the same time and roughly in the amount of time that's necessary to be able to avoid putting in that new infrastructure to all go in at once.

Generally speaking, if you look at some of the other companies that have been successful at implementing some of these projects, we're talking about successful L.P.P. projects being two, three,

I've seen up to five, I think, individual customers that have all gone on and electrified at the same time.

Now as far as I know, at the moment, only Central Hudson has been successful with getting a handful of projects in the L.P.P. sphere done in terms of developing an N.P.A. instead of doing a gas leak-prone-pipe replacement.

But we are pretty rapidly getting lessons learned from even the unsuccessful projects, for example, Con Edison, in their last annual report, I believe, talked about how they've started -- started looking at, you know, ten customer sections and are now really focusing in on five or fewer.

Because it's just so hard to get all those customers all moving in the same direction at once. There's a laundry list of different types of considerations that customers have to make from as simple as, well, we just put in a new gas boiler, you know, last month, and we don't want to redo the -- the parts of our house that would have to be touched to put in a new geothermal system instead to, unfortunately, sometimes gas is a political issue as well, and some handful of customers don't want to

lose gas service, period.

Regardless of whether or not the incentives are there to make it cost free or even more than cost free for them. So --

A.L.J. LEARY: So --.

MR. O'BRIEN: -- L.P.P. is really difficult very, very, very customer specific.

A.L.J. LEARY: So give me the other -- I mean, am I wrong to assume that there are not customer driven N.P.A.s that -- where you don't have to rely on other customers? I have -- one of the company representatives that might have an answer for me, if you don't mind.

But I -- I invite you to supplement as you have -- have discretion to do.

MR. TURRINI: So there -- there's really two buckets, Your Honor, that these things sort of fall in. There's a very specific, which did a good job of describing the challenges around customer choice --

A.L.J. LEARY: Uh-huh.

MR. TURRINI: -- and the leak-prone-pipe projects. There are a second bucket where we go out for an R.F.P. through our energy procurement

team, looking at a supply issue in a specific area. Looking at non-pipes alternatives to address that supply area, like demand side, demand reduction programs or other supply programs.

When we've -- we've gone out to three or four of these R.F.P.s. looking for a market driven solution. And we haven't found anybody successfully be able to come in and provide a solution. So we do look at -- at sort of both buckets, but there's challenges on the -- on the other side too.

A.L.J. LEARY: The -- the -- the demand reduction side?

MR. TURRINI: Yeah.

A.L.J. LEARY: Okay. Let's talk about that, because that's still customer driven, right? So am I correct in assuming that N.P.A.s are really customer driven, there's not 100 percent control that the company would have over any of those that it is considering?

MR. TURRINI: No, because we really, it's -- customers still have choice.

A.L.J. LEARY: Okay. Tell me about your demand reduction programs and why they have not been successful. Tell me about what you just

referred to as the quote, challenges.

MR. TURRINI: So you -- you've --.

A.L.J. LEARY: Are people just not interested in lowering their own --?

MR. TURRINI: We've had some success with some demand reduction programs. Not -- so there's -- there's a -- there's a couple that we've had. We do have a -- a bring your own thermostat program. We do have some other demand reduction programs, but they're more designed to address supply issues that develop from a reliability perspective.

So for instance, we had winter storm Elliot a couple of years ago. We implemented our -- our demand side reduction programs where we did reduce demand in the -- in the morning hours for some commercial and residential, but they're not -- those programs aren't designed to supply -- to address big supply issues.

They're really designed to address peaking issues that we have when we have reliability problems upstream of us.

A.L.J. LEARY: Okay. Anything from staff?

MR. CULLY: Yeah. So just getting to

the -- the larger, I'd call them more area projects that don't require any specific customers to totally defect from the gas system. Basically, anything that the company or that developers pitch as part of a request for proposals or R.F.P. is on the table.

We essentially look at whether or not the portfolio of proposed solutions is sufficient enough in terms of the -- it's usually peak day, peak reduction, gas reduction rather, the peak day gas reduction to meet the -- the needs that the company has that would otherwise cause it to build new infrastructure.

So that's typically like regulator station, something, you know, much higher than an individual piece of -- of pipe. And then whether or not the prices that the developers request for providing that service are cost efficient.

So we do typically a benefit cost analysis. I'm sorry, we -- we always do a benefit cost analysis and per our benefit cost analysis framework, which was developed in case 14-M-0101 roughly in mid 2014. And if the societal cost test result of that benefit cost analysis is greater than one, that is, if the overall benefits to society of

doing that project exceed the overall cost to society of that project, that project can move forward and it would go through the typical non-pipe alternatives cost recovery and incentive framework.

To date, as I understand it, there really has not been a, I'll call it, exciting level of developer grab onto these R.F.P.s. We typically see one, two, a very small handful number of responses to those R.F.P.s.

And so if the company doesn't get enough responses from the private market to meet its needs and do so cost effectively, then unfortunately we're left with the option of having to move forward with that planned piece of infrastructure.

A.L.J. LEARY: Difficult area. But the reason for my inquiry is to really try to look at the last rate case and fully understand whether there's actually been progress on this or any other number of issues. So the next question I have is about what I thought was a really terrific part of the last joint proposal, which was a new technology, I think E.D.F., Environmental Defense Fund was pressing it, perhaps with staff and the company on board.

There was an agreement, and I just read the report that you filed, probably in April, about detecting leaks with this technology, and just how unsuccessful that looks as a result of this report. It's the Enhanced High Emitter Methane Detection Program.

So my question, and I'm going to direct it -- I'm going to direct it first at D.P.S. staff, whoever of the witnesses knows why this did not succeed, and I know all about the inconsistency in the results, but why were there inconsistency in the results?

Was it the technology itself that was not ready for prime time? Or was it the personnel, the human error in implementing the technology that caused this to not be as successful as I think the parties really had intended in the last joint proposal?

MR. KLINE: So the big problem with --

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A.L.J. LEARY: I'm sorry. Go ahead. Do you want to identify yourself?

MR. KLINE: Yes, Jeffrey Kline with Pipeline Safety.

A.L.J. LEARY: Thanks.

MR. KLINE: The biggest problem with the technology is it relies on a number of assumptions. What is not know is the orifice or the size of the hole in the pipe.

A.L.J. LEARY: Uh-huh.

MR. KLINE: And that is going to significantly control the amount of methane that is released. So it can be calculated with the technology when you drive through the plume and can get an idea of the size of the plume, and you can get an estimate, but it's not an exact science at this point in time.

A.L.J. LEARY: Sounds like technology.

MR. KLINE: It's a technology issue, yes.

A.L.J. LEARY: Okay. And correct me if I'm wrong. There is a game plan, as I read this report, to continue this going forward under the next three-year rate term?

MR. KLINE: There is, yes.

A.L.J. LEARY: And -- and -- and those things will be worked out and so forth?

MR. KLINE: That is our hope. There

is also, at the federal pipeline safety level, there is a rule out there that will require quantification of the leak by its emissions. But that rule has not yet been released. The program we set up as part of the supplement leak survey was to help address safety concern with Leak Prone Pipe and is to try to get out in advance of that rule.

A.L.J. LEARY: Uh-huh. Good thinking. Is there anything the company would like to add?

MR. TURRINI: Yeah. So -- so first, the more leak survey you can do, the safer you are.

A.L.J. LEARY: Uh-huh.

MR. TURRINI: It's just a very simple rule. You know, the -- the quicker you can get a leak from into your backlog where you're managing it with rechecks and resurveys and you can monitor the size of it and you can schedule for repair.

It really enhances pipeline safety significantly. That being said, we've done lots of testing with all the different vendors who all market this advanced leak detection. And what we found is, you can rapidly survey an area with it, but we don't reproduce the specific results we do when we do it with our existing technology.

And we find leaks. We find lots of false. We find other ones where they don't find them. But what we do find is it does give us a -- a way to quantify high emitters.

A.L.J. LEARY: Uh-huh.

MR. TURRINI: So as we look to prioritize our leak repair, that we can do a better job of actually affecting a leak methane reduction by targeting the higher emitters as part of the repair process.

A.L.J. LEARY: So to -- focusing on tier -- tier one or --

MR. TURRINI: Well, the -- the -- they're classifications. The classification system is really based on safety, class one --

A.L.J. LEARY: Okay.

MR. TURRINI: -- class two, and class three. Class three currently don't need to be repaired in accordance with the codes. That's probably going to change with the new Eldar legislation that's coming out. We have, part of the joint proposal allows us to get ahead of that, start reducing some of those class three leaks.

But since class three leaks are

considered non-hazardous, if you can quantify their emissions reduction impact, you can have a bigger impact on your emission reductions when you get into the class threes.

A.L.J. LEARY: Thank you. I -- since we have people here from Massachusetts, I -- I wasn't sure I was going to be able to ask this question, but.

A.L.J. LEARY: Did -- did -- did New York have a problem with the out of period finance invoicing that you had some in other regions -- National Grid had in other regions? Does anybody know what I'm talking about for energy efficiency?

MR. O'BRIEN: We're not aware of any issues in Mass.

A.L.J. LEARY: Okay.

MR. O'BRIEN: Yes, we don't know. A general -- let me strike that. I generally heard about the issues. I'm not aware of any issues in New York.

A.L.J. LEARY: Okay. Anybody else? Who are the people from Massachusetts again? Okay, that's what -- I thought there were more than one of you. All right, thanks. I don't have anything else,

Judge Costello.

MR. MALONEY: Judge Costello?

MS. AZULAY: Your Honor.

A.L.J. COSTELLO: Nothing from me. Yes?

MS. AZULAY: Hi, Jessica Azulay for Alliance for Green Economy. If I may, I'd like to ask a couple of follow-up questions about non-pipe alternatives.

A.L.J. COSTELLO: It’s -- because it was opened up, I'm going to allow you to ask some follow-up questions.

MR. AZULAY: Thank you so much.

CROSS EXAMINATION

BY MS. AZULAY:

Q. So Mr. O'Brien, you talked a little bit about the ways that the joint proposal improves the non-pipe alternative program. And I'm just wondering if there's anything in the joint proposal that creates a fundamental shift in the way the company is going to be pursuing N.P.A.s?

A. (O'Brien) Yes, it does.

Q. Okay. Can you explain those?

A. Yes. So like I said earlier, it

essentially commits the company to, you know, creating dedicated programs with expanded opportunities around, you know, different segments of pipe. So for instance, like I said, service line replacements, leak-prone pipe, main extensions, system reinforcements.

It provides, you know, extensive stakeholder outreach. Every -- every year, we have to meet with stakeholders, identify challenges. We have to file, at least for the L.P.P. one, we'll have to file an implementation plan that needs to go -- to be filed with the Commission. It enables stakeholder input in development of the process.

So it is a -- it is a new paradigm that wasn't -- that did not exist under the current joint -- joint proposal.

Q. Okay, thank you. Are there any new consequences in the joint proposal for not achieving non-pipe -- successful non-pipe alternatives?

A. Yes. I mean, these are commitments that the company agrees to. Just like in the last case, we committed to metrics to report progress. So in this case, we commit to annual

reporting. We com -- we commit to annual stakeholder outreach. I mean, as a company, we intend to honor our commitments.

So the extent we would miss that, you know, that's a reputational harm from -- from the company's perspective.

Q. So those are commitments to stakeholder outreach into new types of non-pipe alternatives. But are there consequences for not achieving, for instance, avoided gas pipeline investments?

A. So there's no -- I think if I understand your question, you're asking if there's a penalty metric. There is no penalty metric in the joint proposal.

Q. Okay, thank you. Are there any financial incentives for achieving non-pipe alternatives that are new in the joint proposal?

A. No. I mean, the -- the non -- I keep -- I'm sorry, I keep trying to do that. Non-pipeline alternative mechanism is identical to what it was in the last joint proposal.

Q. Okay, thank you. And are there new resources provided through the joint proposal to

pursue the non-pipe alternatives program?

A. Yes. So we added F.T.E.s. I think they were in the customer function. I -- I can't remember if they're in the joint proposal. I know there's a section in the joint proposal that lists the F.T.E.s. But in general, F.T.E.s were added to the customer segment.

There was a commitment to hire an implementation contractor, and we have to report on progress of hiring that contractor as part of the reporting.

Q. Okay. Thank you very much. I have no further questions.

A.L.J. COSTELLO: Okay, thank you. Mr. Maloney, you want to take a few minutes?

MR. MALONEY: We can take about ten minutes.

A.L.J. COSTELLO: Sure. We'll go off the record. Right now, it's --

(Off the record; 12:55 p.m. to 01:03 p.m.)

A.L.J. COSTELLO: And Mr. Maloney, you had indicated -- just indicated that you have no re-direct?

MR. MALONEY: No re-direct, Your Honor. Thank you.

A.L.J. COSTELLO: Okay, thank you. And then we also have a discovery response. I believe the City of New York wanted to get certain discovery responses in. Would you like to address that?

MS. FRANCO: Thank you, Your Honor. Melanie Franco with the City. Discovery response CNY-069, addressing bill impacts, came in this morning, and we would like to enter it into evidence as Exhibit 721. And we believe that both staff and the company have stipulated.

A.L.J. COSTELLO: Okay. It's on bill impacts. Do we have any -- is that understanding correct? Everybody's in agreement about this?

MR. MALONEY: No objections from the company, Your Honor.

MR. FORST: No objections from staff.

A.L.J. COSTELLO: Okay. So we will admit this document as Exhibit 721. And we ask that you upload it to the D.M.M. system with Exhibit Number 721 so that everybody has access to that. And just so people know, it's a -- it's a multiple-page

document, but it addresses bill impacts for both KEDNY and KEDLI, showing the anticipated current versus proposed monthly bill impacts for certain customers. So that document will be admitted into the record. All right.

A.L.J. LEARY: Mr. Forst, I -- your witness panel did testify, but I just wanted to check with you to see if you had anything on re-direct that you wanted to propose.

MR. FORST: No re-direct, Your Honors.

A.L.J. LEARY: Thank you. Just checking.

A.L.J. COSTELLO: You want to talk about it?

A.L.J. LEARY: Yeah. We would like to hear from folks about whether there is a necessity to file post-hearing briefs. This was a limited hearing. It's 1 o'clock, 1:05, limited number of issues covered. Is there a real need for post-hearing briefs?

I'd like to hear from the company, and D.P.S. staff, and then WE ACT and anyone else. So company?

MR. MALONEY: Your Honor, we -- we see

no need for post-hearing briefs in this case. The -- the positions that I heard this morning in cross-examination were developed in the statements and reply statements of the various parties. And we think that, plus the supplementation of the record this morning is sufficient.

A.L.J. LEARY: Okay. Mr. Forst?

MR. FORST: Your Honors, I would concur with the companies. We don't feel there is a need for any post-hearing briefs.

A.L.J. LEARY: Okay. WE ACT?

MS. AIDUN: Your Honors, we do see a need for post-hearing briefing. We obtained new information today about the operations and emissions of the Newtown Creek facility and the new biomethane interconnections, as well as about N.P.A.s, and we would appreciate the opportunity to address that -- that new information.

A.L.J. LEARY: Okay. Anyone else in the room thinking about filing a post-hearing brief? And it will only be on the issues that were developed today by the panels that testified, that is, the D.P.S. panels and the companies' panel. Anyone else intending to file a post-hearing brief?

MS. AZULAY: Your Honors, this is Jessica Azulay with Alliance for a Green Economy. We would like the opportunity to also file a post-hearing brief based on the information heard today.

A.L.J. LEARY: Okay. I just need a minute with Judge Costello. Okay, so I don't want to foreclose anyone from filing a post-hearing brief, but you must do so within -- by June 3rd, and it cannot be more than 15 pages, and that's really generous. So come in at 12, if you can.

I would like to give -- I would like to propose to give the companies, D.P.S. staff, and anyone else who's a signatory on the joint proposal the opportunity, rather than some requirement, to file a reply. There will be no sur-replies. So that reply would be due the following Monday, which is June 10th.

So Mr. Maloney, Mr. Forst, again, you do not have to respond to these briefs, but you may as long as you do so by June 10th. So you have the discretion to read the briefs and determine at that time. Anyone else interested in -- Mr. Conway, are you going to wait until you read their briefs? Do you think you'll reply?

MR. CONWAY: I don't know. If possible, Your Honor, I think the only thing I would indicate right now is that one of our primary concerns I think would be the overall timing, just given where we are in terms of the suspension period and associated delay in getting a decision on this case.

So you know, I can't say right now whether we will reply. We'd have to, I think, reserve the right to, but just sort of note at the outset that any -- any concern we have on this would be related to the overall timing.

A.L.J. COSTELLO: Yeah, this will not -- not extend the suspension period, or we're not going to request an extension of the suspension period based on this briefing.

A.L.J. LEARY: I mean, the two of us aren't.

A.L.J. COSTELLO: Well, we're not going to request it, and we're not asking the company to consider it. That’s --

MR. MALONEY: Your Honor, am I also correct that the scope of the briefs is limited to the matters that we discussed here?

A.L.J. LEARY: Yes, indeed.

A.L.J. COSTELLO: Yes.

A.L.J. LEARY: I think the parties, you can't see them, but they are acknowledging by shaking their heads that they understand that and the scope of the testimony. We'll try to get the transcripts. That's always the reason for -- Mr. Conway, the reason for this timeline is because, you know, Memorial Day is in there, but the -- the transcripts of the proceeding really do take some time to review, and the -- and -- and we circulate them to you. It's actually really just to the companies.

We'll give -- give them to all of you but -- for review, but it's really the companies and counsel for D.P.S. staff who will have to really correct or propose corrections to those transcripts, and all of that takes time. So with that --.

A.L.J. COSTELLO: We'd like to thank the witnesses today, and we're going to excuse you at this time. Thank you very much for attending. If there are any -- we can go off the record.

(The hearing concluded at 1:11 p.m.)

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STATE OF NEW YORK

I, MONIQUE HINES, do hereby certify that the foregoing was reported by me, in the cause, at the time and place, as stated in the caption hereto, at Page 1 hereof; that the foregoing typewritten transcription consisting of pages 1 through *, is a true record of all proceedings had at the hearing.

IN WITNESS WHEREOF, I have hereunto subscribed my name, this the 22nd day of May, 2024.

Monique Hines

MONIQUE HINES, Reporter